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ICE - Intercontinental Exchange Inc at Barclays Global Financial Services Conference

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PRESENTATION

Jeremy Edward Campbell - *Barclays Bank PLC, Research Division - Lead Analyst*

All right. Good morning, everybody. This is Jeremy Campbell, the Exchanges, Brokers and Asset Managers analyst over here at Barclays. Today, it is my pleasure to welcome Ben Jackson, who's the President of ICE, has -- rolling up to him is the futures exchange, the M&A activity as well as the fixed income platform and a lot of other things as well.

QUESTIONS AND ANSWERS

Jeremy Edward Campbell - *Barclays Bank PLC, Research Division - Lead Analyst*

But I thought maybe it would be useful to start here with a quick audience response questions to kind of lay the table here. So we can queue up. Number one, if you guys can grab your response clickers. What topics within ICE do you expect to dominate your focus over the next 12 months? One, organic data growth; two trading volumes; three, acquisitions and/or capital management; or four, new product development. And Ben, I don't know about you but given some of the news flow in the wee hours of the morning, I wonder if we're not going to see a strong showing for number 3 here.

Benjamin R. Jackson - *Intercontinental Exchange, Inc. - President*

Yes. I'll be kind of shocked on the response we get here.

(Voting)

Jeremy Edward Campbell - *Barclays Bank PLC, Research Division - Lead Analyst*

It's a little weaker than I would have thought. 37% of the audience chose 1 and 2, organic data growth and trading volumes and then 21% is looking to the M&A.

So at this point, why don't we just get it over with, the obligatory question around the exchange landscape and kind of some of the news flow we've seen over, not only the past couple of weeks but in the overnight hours here. What are your broad thoughts? And is there any kind of read-through that we can think about for the Intercontinental Exchange?

Benjamin R. Jackson - *Intercontinental Exchange, Inc. - President*

Sure. Thanks, Jeremy. So obviously, we're all absorbing the news from overnight. But what I would comment on is on the assets themselves that are a part of this. I mean we've known the Refinitiv business for a long, long period of time. It's been a part of a public company for a long period of time. And what I would say is the types of assets that we focus on as being a really good fit for our customer base, for our platform are those assets that have a high amount of very proprietary data and intellectual property associated to them. It's assets that have a very flexible distribution system associated to it. It's assets that meet our return criteria, that meet our investment -- IRR with 10% targeted return on the deals that we do.



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And also, we look at asset classes that are early on in the analog-to-digital conversion. And for Refinitiv, we couldn't find a way to check any of those boxes. So for us that wasn't a fit.

Then obviously, as we pivot now to the news this morning around LSE and a lot of speculation around what does this mean. For us, we don't compete with LSE. We don't compete with Refinitiv. We have relationships obviously with Refinitiv from a redistribution standpoint. And on LSE, we never really moved forward on any kind of a deal like that even though there's been rumors over a long period of time around us and them. And the reasons are you've got Brexit uncertainty, you've got valuations, you've got deals have to meet our internal rate of return criteria that we put forth. But then also you have -- cross-border deals are very difficult to do. I learned our lesson through Trayport. We bought a business called Trayport in the European utility space that went through a U.K. CMA review. It was very, very difficult and in the end we had to divest of that business. So when you look at all those factors together, why we've never really moved on a business like that.

Jeremy Edward Campbell - Barclays Bank PLC, Research Division - Lead Analyst

Yes. By the way, I just did a fireside chat earlier this morning with TMX Group and they are thrilled with the Trayport asset inside their complex at this point.

Benjamin R. Jackson - Intercontinental Exchange, Inc. - President

I'm sure Lou is.

Jeremy Edward Campbell - Barclays Bank PLC, Research Division - Lead Analyst

So given that kind of trading volumes and data growth are kind of the top of mind here, let's just start on the trading side of the business and maybe we can pivot to data in a little bit here. But within kind of the energy derivatives business, I think in the last earnings call, you mentioned global oil products with open interest up 25% year-over-year after a few tough years for Brent. So I guess what's driving such an increased demand here at this point?

Benjamin R. Jackson - Intercontinental Exchange, Inc. - President

Sure. Thanks for the question. So I'll start with what's happening in the overall environment with oil, and in the oil market, globally, the place to start is right here in the United States. And it's no shock and not news -- new news to anybody that the shale gas and oil explosion in the U.S. has put the U.S. on the forefront of being a major producer of oil and natural gas around the world. I mean I remember -- I grew up in Cleveland, Ohio. I spent a lot of summers in -- just outside of Buffalo, New York, and we have a Bill -- commonality of Bills fans here in this room.

Jeremy Edward Campbell - Barclays Bank PLC, Research Division - Lead Analyst

Probably a lot in this room.

Benjamin R. Jackson - Intercontinental Exchange, Inc. - President

Sorry, Jets fans.

Jeremy Edward Campbell - Barclays Bank PLC, Research Division - Lead Analyst

Yes.



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Benjamin R. Jackson - *Intercontinental Exchange, Inc. - President*

But growing up, my grandfather's farm was about an hour south of Buffalo and just part of the Marcellus Shale belt there. I've walked through the field with him when I was a little kid and I'd see -- you see the little oil specks on the ground, and I'd always ask my grandfather, is he going to be rich someday by being able to mine that oil. And he always said, no, no, no the technology is not there, it would be way too expensive to mine it. We don't even know how much would actually be there. Well, lo and behold you fast forward almost 40 years later, the technology is there, and there is an explosive amount of energy, oil and gas coming out of the earth.

The second dynamic that's changed is in late 2015, the export ban was removed. So the U.S. went from an importer of a lot of these goods to an exporter. The third demand -- or the third change that's really happened is that the demand in and across Asia Pacific in developing nations is just exploding for both oil and natural gas. So as a middle -- emerging middle class is developing in those nations, you're seeing more and more demand coming. And then the fourth is that when you take a look at the commercial hedger, the person that's at the core of a lot of these types of businesses in the derivatives markets, their core focus is how do I perfect my hedge, how I hedge the exact product that I need to consume or produce at the location that I need to either consume it or produce it depending upon their perspective.

If you take all those trends and then you compare it to well, where is it and how is it that we've built our energy business, so over the last couple of decades, we've built our business very different than any of our peers. Our peers focus on a single product in a single asset class at a single location. We've built out in oil alone 600 different oil products around the world. These are refined products, they are differential products, they are products physically located around the world for people to be able to get price exposure at the -- with the product that they specifically want to consume at the point of consumption where they want to consume it.

So take a thing like Singapore jet fuel, it's a perfect example; Middle Eastern crude oil, another example. And our focus on building out this product suite fits very well with all the trends that I had mentioned as customers are looking to manage their risks at those precise locations. And that's why we're seeing incredible growth. So we've seen, on a compounded annual growth rate across our entire oil business, an 8% growth rate since that oil export ban has been lifted. Not one of our peers is even close to that. If you look at our Asia Pacific oil products, those have grown at a 20% compounded annual growth rate over the last 5 years and now represent 12% of our oil open interest. And none of our peers are even close to any of these types of metrics and having a diversified business like this.

And the last thing I'd say is, you mentioned Brent, the reason that we've been able to build this global oil complex is that all of those products reference the global benchmark, which is Brent. And global -- in the commercial circles, when you talk about what is the global oil benchmark, it is Brent. And all the products that I have mentioned reference and are spread against and are differential-ed against the Brent contract and the Brent Index, and that's why Brent is also a product that's grown for us and it's continuing to grow for us and is actually up 6% on a year-over-year basis.

Jeremy Edward Campbell - *Barclays Bank PLC, Research Division - Lead Analyst*

And you also mentioned outside of oil, inside your energy complex, you alluded a little bit to the natural gas area and maybe -- especially in European, Asian products in natural gas, maybe what sort of trends are you seeing in that market?

Benjamin R. Jackson - *Intercontinental Exchange, Inc. - President*

Sure. So same -- similar trends to oil that I mentioned, shale gas, natural gas is a beneficiary of that from a production standpoint. Export ban, natural gas is a beneficiary of that. The other really different trend that's happening in the natural gas markets is when you look at the focus on decarbonization and desulfurization in Europe and Asia, around the world, when you're a power plant operator, you have a choice when you're producing power to either consume coal, a fossil fuel like coal or a fossil fuel like natural gas, natural gas being much cleaner to produce. So there's a significant amount of demand coming from around the world and pressure from regulators to power plant operators, manufacturers, et cetera, to use cleaner fossil fuels to actually produce the goods that they're producing downstream. You have all this demand in Asia for a cleaner fossil fuel like natural gas.



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And then the other dynamic you have is that in order to get natural -- there's not a lot of supply of natural gas naturally over there, there's a ton in the U.S. Well, technology has advanced substantially over the last several years to take natural gas from its gaseous state, convert it to a liquid state, put it on a transportation vessel and then get it into either Europe or into Asia Pacific. And what we've seen is that as those cargoes, as those LNG cargoes are in high demand going to Europe and going into Asia, we are seeing that how those cargoes are being priced as they leave the Gulf and going towards Europe, they are being priced via by the contract that we have, which is TTF.

So that's a natural gas benchmark. We're the primary trading entity for that contract. We've seen explosive growth in that because those cargoes are being priced, referenced the TTF contract as they are going. And for the cargoes that are going to Asia Pacific, we have a partnership with Platts with the JKM contract, where we are the most liquid provider of that service. And the cargoes that are destined -- LNG cargoes that are destined for Asia Pacific are being priced by the JKM contract. So we've seen tremendous growth in those areas and again, our business because we focused on diversifying our business globally. It is well positioned to continue to benefit from those trends.

Jeremy Edward Campbell - Barclays Bank PLC, Research Division - Lead Analyst

And as we think forward, you'd mentioned we're transitioning off of dirtier fossil fuels toward cleaner fossil fuels. But the next iteration of this is, it's clearly going to more of renewables type of world out there. How do you see this impacting your energy derivatives business? And maybe just spend a moment here on looking at some of the trends in the emissions complex that you have as well.

Benjamin R. Jackson - Intercontinental Exchange, Inc. - President

Sure. Staying very close to our customer base and what their needs are and the example I gave in power. In power, power plant operator has a choice of either burning coal or natural gas to produce power. Well, the third input that they have to that is the cost of emissions. We saw that very early on. I mean Jeff was a power plant operator before he founded ICE. So having a close relationship and understanding of that dynamic of those 3 different dimensions is what led us to buy a business, a decade ago, called the Climate Exchange. The Climate Exchange, underneath it, had emissions contract, carbon renewable, carbon allowance contracts, underneath it both in the U.S. and Europe. We have invested heavily into that business, we continue to invest heavily in that business, and we're seeing great growth. So in the last 3 years, our U.S.-based renewables products have doubled in size. In Europe, while that market is still maturing, we think it's going to look a lot like the U.S. in just a couple of years.

So if you take a step back, again, our approach has been global in nature. We look at it from a commercial customer perspective, what are the challenges they have. And they're looking at all the inputs into what -- and all the different cost, the dynamics that they have to take in effect when they're producing their end good like power. And this really rounded out our solution suite, and we are seeing the benefits of listening to our customers.

Jeremy Edward Campbell - Barclays Bank PLC, Research Division - Lead Analyst

And I think most folks tend to think of you guys on the future side to be more of a commodities-type player here. But I just wanted to dig in a little bit on the financial future side. You have obviously a partnership with MSCI. I mean can you talk a little about that opportunity or what that could look like over the next kind of 2, 3 years at this point and how that might evolve?

Benjamin R. Jackson - Intercontinental Exchange, Inc. - President

Sure. So we have a great partnership with MSCI, a long-standing partnership with MSCI. And building futures off of their indices is something we have been doing for a number of years. So we have over 90 different products that we provide based on the MSCI Index business. And what we saw very early on with MSCI versus other index providers is that they approach the market very differently. They approach it from a global perspective but they also slice the market into very different regional segments, different sector allocations you can get, different country allocations that you can get. And we saw -- I mean, similar to how I was explaining the approach to energy and that it's a global market, you have to look at all the different areas of where somebody really wants to get price exposure. We believe MSCI has built a really great franchise in being able to do that.



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So we partner with them on launching all kinds of different products. The EM product alone, which is the one they're most known for, is one that the notional, underneath that contract, used to be 5% of the S&P 5 years ago and now it's 20%. So we're seeing substantial growth there. People wanting access to China. Emerging markets still being a focus but also looking at all of those regional products underneath it, and we're going to look to continue to invest in.

Jeremy Edward Campbell - Barclays Bank PLC, Research Division - Lead Analyst

And maybe entering some new markets, we'll chat a little bit about the fixed income solutions business. Obviously, over the past couple of years, you've had IDC, BondPoint, TMC Bonds, the BAML indices here. I guess with IDC and fixed income indices of the platform, I guess, with the new kind of push into kind of creating a more -- a trading venue here, Jeff likes to talk about what virtuous cycles of the thing here, how are these correlated? And what strengths can a trading venue kind of bring and augment your data solutions that you currently have in place at this point?

Benjamin R. Jackson - Intercontinental Exchange, Inc. - President

Sure. I think the place to start is -- and how we started in the fixed income market. And when we looked at the fixed income market, we looked at it similar to how we did energy and equity derivatives and other asset classes. When we looked at fixed income, we looked at what is the hardest challenge that people need to solve. And for fixed income, we believe strongly it's all about pricing. I mentioned I grew up in Cleveland. So a fan of Drew Carey, the host of the Price is Right. When you're on the Price is Right, you're sitting there and you're guessing the price of different instruments that you can go to the store and see every day and trade every day. In fixed income, it's totally different. Even as fixed income electrifies -- you take municipal bonds, for example, out of the million CUSIPs that are out there in the municipal bonds, 1% of that trade every day. Corporate bonds, about 30,000 corporate bonds, out of those, 5% trade every day.

So when we looked at IDC, the business we bought a few years ago that's really the cornerstone of our ICE Data Services business, what we saw is a business that had developed a significant artificial intelligence engine and proprietary data offering that had been trained over many, many years on how do you price an instrument that hasn't traded based on all the correlations of things that are trading, all of the market color that you can get around the instruments that are correlated to it, how has that asset performed in up cycles or down cycles of the economy. And taking all of that information, we've built an AI algorithm around that to be able to not only provide end of day pricing but also real-time pricing to our customers.

So we started there. We added on to that with passive investing expertise with our Bank of America Merrill Lynch Index business. We've built a significant -- or built and bought an analytics business called BondEdge that also came with the IDC business that has over \$3 trillion in assets under management.

And then the last piece of the puzzle that we needed to complete that complete vertical fixed-income offering was execution. To us, execution is one of the lowest-value pieces in that whole. If you look at any cash market, execution tends to be one of the lower-value parts of the food chain over time as they develop. But we knew we needed it to have a front to back comprehensive solution for our customers, and we are starting to see that come to life because that's why we've been chosen by the significant issuers in the ETF space to provide a new industry solution for the industry in the ETF.

Jeremy Edward Campbell - Barclays Bank PLC, Research Division - Lead Analyst

Yes. And maybe we'll talk about that a little bit. I mean it's, I think -- if I remember correctly, you guys are looking to launch that in a relatively short order here but maybe just spend a moment here and tell the audience exactly what that is and how ICE can look to monetize this more streamlined solution for the creation/redemption process of fixed income ETFs out there.



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Benjamin R. Jackson - *Intercontinental Exchange, Inc. - President*

Sure. So to start with on the ETF creation/redemption process, I think it's important to understand the difference between primary trading and secondary trading. So what our solutions about that we're developing in partnership with the industry that's going live in the fourth quarter of this year is, for the first time, there's going to be a standardized technology suite for when a bank -- so if you go to your bank and you want to buy an ETF, well, how is that ETF share actually created? The ETF shares created by that bank is going to an issuer, they have to go to that issuer, you'll be able to go through a single portal. Once our platform is launched, you'll be able to go through a single portal, you'll be able to look at different issuers that are on that platform, you'll be able to look at all the funds that you can choose from, you'll be able to see all the constituents that are in each one of those funds and then you will know that out of the thousands of constituents there are, let's say you wanted a high-yield bond fund...

Jeremy Edward Campbell - *Barclays Bank PLC, Research Division - Lead Analyst*

(inaudible) but go ahead.

Benjamin R. Jackson - *Intercontinental Exchange, Inc. - President*

You'll be able to see, well, what are the 50 bonds that you need to provide, 50 actual physical bonds, that you need to provide, create one share of that ETF. If you ever see that, then you as the bank can go into the secondary market, gather those bonds on various platforms and perhaps in the inventory that you have. And once you have that basket, you can give it to the issuer and then that's what creates the share of the ETF. So that whole creation process will be happening on our new industry utility for the industry.

What oftentimes happens though is that you can't find all the bonds. It's very difficult to find inventory, very difficult to price all the different inventory. So what will oftentimes happen is you, the bank will go and you'll find 40 of the 50 bonds. Well, when our solution is launched, you'll be able to use our instant messaging platform to communicate to the issuers, I found these 40 bonds, I can't find these 10, and then you'll be able to use our analytics engine that I mentioned earlier on that has \$3 trillion in assets under management. You'll be able to use that analytics engine to say, I couldn't find these 10 bonds but what are the next 10 bonds that are going to be closest substitute to the 10 I couldn't find? So that ideally, the number of iterations you're going back and forth with the issuer on what's going to be acceptable are significantly reduced and that whole process is much more lubricated than it is today.

Today, it's very manual, it's phone, it's disconnected, it's the messaging systems. There's different technology platforms. Each issuer has their own platform. Some issuers have multiple platforms themselves depending on what asset class it is. So when this goes live, you're going to have equities -- U.S. equities, International equities and fixed income all under one technology platform to access, again, multiple issuers with that whole negotiation process much more lubricated than it is today.

Jeremy Edward Campbell - *Barclays Bank PLC, Research Division - Lead Analyst*

And I think the hope is that maybe they -- you see some transaction volume in your venues as it relates to that business and it will be a little bit more of a one-stop shop.

Benjamin R. Jackson - *Intercontinental Exchange, Inc. - President*

Yes. Day 1, the focus is going to be building our community. That's what we are, in the trenches of that now, going through the final testing and onboarding that community onto the platform. And one of the benefits that we're going to get that you had hit the nail on the head is that for the first time, our venues at TMC and BondPoint that we purchased last year will be competing alongside Bloomberg, Market Access and Tradeweb for volume that they've never been able to compete for. That's a part of this going into the secondary market, procuring the bonds that would go into our primary trading venue so...



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Jeremy Edward Campbell - Barclays Bank PLC, Research Division - Lead Analyst

And as we think about like fixed income protocols too, I mean, the institutional players in that world have largely gone through RFQ. And I know you guys have that capability. But yesterday, when we had Market Access and Tradeweb up for a fireside chats, I think a big point of conversation was kind of the rise of algorithmic trading and auto pricing, auto execution, auto responding protocols, right? So how do you envision a world where ICE's core competency, historically, has been a little bit more in live streaming and now you have an RFQ world that, with the rise of algos, could look a lot more like a live stream over time? And kind of what is the opportunity set for ICE to kind of play in that same box?

Benjamin R. Jackson - Intercontinental Exchange, Inc. - President

Thanks for the question. So the -- in our -- in all of our markets that we have operated, we have live streaming, central limit order books and we have RFQ. And indications of interest, every auction platform you can possibly think of, we have an energy, we have an equity derivatives, we have an equity, et cetera. When looking at fixed income and when we've looked at the venues that are out there, the ones that we thought were the most interesting were the ones that built out the hardest part of that value chain and execution, which is building a central order book, which is building streaming liquidity, not only from a technical dimension of being able to handle hundreds of millions of price update today versus facilitating an RFQ, which is relatively easy but also getting a community of people attached to you that's comfortable streaming liquidity, that somebody can aggress on the screen. They could say, I like that price and I want to hit it. You're not waiting for somebody to tell you, hey, I want to buy x or I want to sell y before you actually show a price, you're actually showing to the world this is the price you're willing to execute. It's very difficult to build those types of platforms.

With TMC, in the municipal space and BondPoint in U.S. corporates, they've established that. Over multiple decades, they've established a great track record and a vibrant central order book trading in U.S. corporates and in municipals, which is the hardest part to build. And since we bought them, we basically bolted on all of our RFQ and IOI and auction capabilities onto those platforms as we've integrated them over the past year, and now they're -- we're very well positioned to launch our institutional offering here, alongside of the ETF Hub launch, being able to offer RFQ protocols. With our RFQ protocols, we'll be able to introduce our streaming prices so not only can you respond to the RFQ, but you can see on a platform live, you can execute on that -- this price right now on that bond and you'll be able to interact with the ETF flow that I mentioned.

Jeremy Edward Campbell - Barclays Bank PLC, Research Division - Lead Analyst

Let's pause there and do 2 more audience response questions. So I'll give the next one. Do you as an audience use data analytics in your everyday decision-making process and what are your expectations for your data service consumption in the next 12 months? One, yes and expect to increase consumption; two, yes, and keep consumption flat; three, yes but decrease; four is, no but I want to use data; and five is, no, and I don't intend to use data. I'm guessing number 5 is like a grid paper and a protractor at this point but we'll see.

(Voting)

Jeremy Edward Campbell - Barclays Bank PLC, Research Division - Lead Analyst

So a lot of people, the vast majority of the audience, is actually using data, with about 43% looking to increase the consumption going forward.

And then the next question. What are your volatility expectations for the next 12 months for the overall market? One, high volatility; two, average volatility; and three, lower volatility. And I guess, let me put this in the context of the overall asset class, especially that [I explained] the derivatives complex, too.

(Voting)



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Jeremy Edward Campbell - Barclays Bank PLC, Research Division - Lead Analyst

So 64% of the crowd here thinks that we're entering the higher volatility world and only 16% thinks we are going to go lower here.

So before we pivot to data, I mean, with this expectation here, especially the derivatives complex and -- that you guys have put together, I mean, is there any quick read-through that you can have to the ICE trading platform?

Benjamin R. Jackson - Intercontinental Exchange, Inc. - President

We benefit from times of high volatility given the exchanges that we operate, in times of high volatility, obviously, usually increase trading volume. But even if the answer here was low volatility, given that we've built out a very high proprietary data business underneath our business that represents 50% of our overall volumes, we've become much more immune to volatility cycles in our overall performance of our business.

Jeremy Edward Campbell - Barclays Bank PLC, Research Division - Lead Analyst

And then just pivoting, I guess, into the data side of the coin here, I think, one of the areas we've kind of tacked on to the fixed income conversation where we see a lot of upside potential is around being a fixed income index provider, right, to the pretty nascent, passive fixed income world out there. Others like S&P have tried and haven't been terribly successful in the past, so maybe, kind of you brought on the BAML Index capability but you have quite a lot of other capabilities here. So maybe just how is -- what separates ICE from more traditional index players in kind of seizing that opportunity a little bit more?

Benjamin R. Jackson - Intercontinental Exchange, Inc. - President

Yes. So if you start with that Bank of America Merrill Lynch Index business, I probably got to take a second to explain what we really got there. With that business we -- the core of that business was an index business or is an index business that has substantial assets under management benchmarked to it. And that -- those assets under management have been established and benchmarked to it over multiple decades. The reason for that is that, that is a team that's very trusted, very well-known throughout the industry in being able to execute, respond to customer needs.

So what we saw when we look at that business is a way to get passive investing expertise, to get fixed income index expertise, to get an index suite that had real assets under management being the second largest with third being a distant third behind us index franchise into our business, bolted onto our pricing, our reference data and our existing index businesses that we had and have in-house. So we've integrated all those businesses into one very quickly when it came on board to our platform. And when we're engaging with the buy side, there is no secret that the buy side and asset managers are under fee compression. And what they're looking for is alternatives to existing benchmark. They want to create their own customer benchmarks. They want to white label indices, they want to license new indices and they're looking for alternatives out there.

And given that Bank of America Merrill Lynch never really monetized that index business that we -- that they had and it's a space that we traditionally have not played in, this is all upside for us, to be able to go in, provide a very flexible platform that we'll engage with you and licensing our index, we'll create a new one for you and partnership with you, we'll let you white label something, we'll engage, and we see a significant amount of customer demand on that front right now.

Jeremy Edward Campbell - Barclays Bank PLC, Research Division - Lead Analyst

I think we've seen other index providers have a little bit of a halo effect of attaching a strong brand to an index, and you see flows going to ETFs that way. I mean when you look at the fixed income world, I mean outside of us nerds in this room, I don't know that anybody really knows what the Bloomberg Barclays Aggregate Bond Index actually is. So how do we think about the opportunity to either develop a brand for these indexes on your own or given what's going on the space, acquire a brand to attach to these indexes going forward?



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Benjamin R. Jackson - *Intercontinental Exchange, Inc. - President*

Yes. I mean for us, we're happy with the assets that we have right now because they do and have come with a significant reputation and performance track record in the -- in what we have. We do have an established calculation business on the index side. And as you said, no one knows what the constituents are of the Barclay Agg. Well, we do. So we are the reference data and pricing provider for all of these institutions that underpin indexes around the world. So given our knowledge and deep knowledge of all of those businesses, we -- of all those indices, we believe we're very well positioned to engage with customers in any way they want.

Jeremy Edward Campbell - *Barclays Bank PLC, Research Division - Lead Analyst*

I think just on the broader data complex, I think, obviously, Scott has talked about the guidance of like 4% to 6% top line growth. I guess what would have to happen? I think you guys have done a really good job peeling back the annualized subscription value and how that's kind of increasing as a proportion of that data business. But what have to happen in that market? Just trying to maybe get that revenue growth at the higher end of that range versus something closer to the midpoint.

Benjamin R. Jackson - *Intercontinental Exchange, Inc. - President*

So we feel good about the 4% to 6% range. So we've been on the upper end of that range for the last 2 quarters and for the last 12 months -- trailing 12 months, and we feel good about that range going forward. It's when you think about the -- what's really driving that type of performance, underneath that is a lot of new product innovation. So we are constantly partnering with our customers to look at what are the needs they have from -- whether it's regulatory concerns, what are the needs they have on just understanding the portfolio constituents better, what are the type of analytics platforms that they want, and we've continued to respond and innovate to those needs.

One perfect example, recently, is we've taken our analytics platform that used to be a platform that you would consume as a technology platform, so you literally had to install software. We are making that engine, that analytics engine behind that a much more easily accessible through API's engine so you don't have to have a fixed desktop where you're interacting with this analytics platform, you can consume information as you see fit on that platform. So having that type of flexibility, we're meeting the demands that customers have to have that type of flexibility and to not be locked into a single container, and that's why I mentioned earlier in the conversation that we look at what are the most flexible distribution channels that we can give for customers to consume our data and analytics.

Jeremy Edward Campbell - *Barclays Bank PLC, Research Division - Lead Analyst*

I think we'll pause there and do 2 more audience questions and then we'll open it up to some audience questions, if you guys want to. So first one is, one, are you currently involved in ICE stock? One, yes, overweight; two, yes, market weight; three, yes, underweight or net short; or four, not involved.

(Voting)

Jeremy Edward Campbell - *Barclays Bank PLC, Research Division - Lead Analyst*

And then as we head into the next one too if -- as you guys were responding, if you have a question raise your hand, and we'll be sure to get a microphone over to you. To answer this one, those that are involved are actually overweight in the stock and then there is 30% of the crowd that's just not involved at all. So it's a pretty good setup for you guys at this point.

And then the next one is do you plan to change your position over the next 12 months? One, yes, increase; two, decrease; or three, keep it the same.

(Voting)



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Benjamin R. Jackson - *Intercontinental Exchange, Inc. - President*

Will Warren get the answers?

Jeremy Edward Campbell - *Barclays Bank PLC, Research Division - Lead Analyst*

Yes, sure. We'll keep the controllers away from them. So 50% of the crowd is going to kind of remain the same, with 35% of the crowd looking to increase over the next 12 months. So I think it's a pretty good indicator of this crowd.

If you have a question raise your hand, and we can get you the microphone here, if not, I'm happy to continue. All right, Ben, I think maybe we'll just touch on one last thing on the data side. I guess just, I think, one of the concerns is that the consumption is this crowd, the buy side as well as us, the sell side, and we have a market that's been kind of cooperating where you have a little bit of positive carry here. And then as you saw in the crowd they, expect to consume more data on a go-forward basis. But I guess one of the things that's kind of curious is what's mission-critical versus what's nice to have in the data world? And if we go through a recessionary environment, does the data calculus change for a nice on a go forward? So maybe if we can kind of underscore what your thoughts are around kind of data revenue in a potentially downturn type of environment, what does that look like?

Benjamin R. Jackson - *Intercontinental Exchange, Inc. - President*

Yes, that's -- that goes back to what I mentioned earlier on the Refinitiv, LSE question around what's our focus been. And our focus has been in the very high proprietary intellectual property that we can either acquire or organically build for our customer base because to us, that's relatively immune to a downturn compared to highly commoditized data.

The second thing I'd say is that we are constantly looking for what is the most flexible way we can distribute our content to our clients. And that comes from everything from our ultra-secure ICE Global Network where the cyber concerns being front of mind of anybody today, they want to know that the proprietary information that we're giving them for either critical risk management or trading decisions that they have has been interrupted from the time it left our door to their doorstep when it gets into their risk and trading and analytics platforms.

We're also innovating and building out a cloud-based solution. So Jeff mentioned on our last call that we have DataVault that's coming live right now that's taking a vast treasure trove of tick data that we have and enabling people to consume that type of information on a cloud-based environment, which the asset management community is constantly looking for, what's a more efficient way for me to grind through all the analytics that I do to make trading decisions? So for us, because we've made the decision to focus very heavily in the proprietary data space, its flexible distribution channels, we have enterprise-type deals with our clients. We're relatively immune to things like a downturn and desktop terminals because we're just not focused on that. And what you oftentimes see in those downturns is the commoditized data, data terminals, headcount, anything that's attached to that is what's most susceptible to those downturns, and we just haven't focused on that area, right?

Jeremy Edward Campbell - *Barclays Bank PLC, Research Division - Lead Analyst*

As we kind of get to the end of our time here, I just want to talk about the mortgage business a little bit here. I mean you guys have bought MERS a couple of years ago at this point and back in the spring, you announced your acquisition of Simplifile. So maybe at first glance, ICE getting into the mortgage space seems a little bit different from what you guys have historically done on the traditional businesses. But maybe can you explain what's the rationale here for kind of expanding your footprint? And what solution you're looking to provide to a pain point in the mortgage business?

Benjamin R. Jackson - *Intercontinental Exchange, Inc. - President*

Sure. So when you look at the whole journey that ICE has been on, it's all been about looking at asset classes that are on an analog-to-digital conversion. And of all the asset classes we've talked about today, mortgages are the most analog. And it's a space that Jeff has openly talked about



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for many years. I mean since early 2000s, he's been very focused on the mortgage space and been saying this is an area that just has to be more automated. Similar to the blueprint that we've done in energy equity derivatives that we're applying to fixed income right now and now looking at the mortgage space, the playbook's not different. So it's not far afield for us to be going into the mortgage space and really trying to ride this analog-to-digital conversion that we see on the horizon.

And our entry point into that is the MERS business that you mentioned. And for MERS, what we got there is a business that every closing table, so if there is a real estate transaction that's going to close in the U.S., each of those transactions that has a mortgage attached to it needs to get a Social Security number, so to speak, a MIN number. That Mortgage Identification Number or MIN number, is produced by MERS and the data around that mortgage goes into this database that MERS, our business, manages as well as all the servicing rights for that underlying mortgage are captured there. So for us, it's all that informational assets that are there within MERS, it's a very interesting starting point.

We quickly engaged with Fannie and Freddie when we bought that business. Hey, well, is there an opportunity to start to get our head around electrifying some of the documentation associated with it, starting with the note. And in getting the industry's head around, yes, we can start to get our head around electrifying that actual physical note, we've built an eNote business that's growing substantially for us right now. It's still early days and still small, but it's growing substantially. And with the eNote business, you are able to electrify the actual note itself, and our registry has been expanded to note not only what is the registration of that note itself but what vault is it located in. So you know what is the master record of, and what's the location of that specific note in an electrified form.

With Simplifile, I couldn't think of a more complementary business for where we started in that go back to the closing table, there's information that's flowing 2 ways: one, the MERS; the second is that to consummate that transaction, all the documentation associated with that transaction has to be filed at the local jurisdiction, the local courthouse. And what Simplifile built for over 20 years is the network that covers 80% of the population of the U.S. So between the jurisdictions and the settlement agents on any real estate transaction, they've built the electronic highway that -- whereby all of that information is electronically communicated to the jurisdiction and then the deal confirmed from the jurisdiction back to the counterparties and back to the lender that's involved with the transaction, the lender coming off risk and the lender going on risk.

So with those assets, we believe we have a network. We've got a tremendous database. We have a lot of informational assets. We're a really neutral utility provider to the industry that it's a great launching off point to partner with a lot of the big software platforms that are in that, so think of Ellie Mae and Black Knight, Fannie and Freddie that I had mentioned, the title companies, to really start to look at what our other data offerings and other ways that we can really start to innovate and to really lubricate that mortgage process to make it much less manual and much more automated.

Jeremy Edward Campbell - Barclays Bank PLC, Research Division - Lead Analyst

Great. Well, I think we are out of time here. But Ben, thanks so much for being here and we look forward to having you next year.

Benjamin R. Jackson - Intercontinental Exchange, Inc. - President

Thank you. Thanks, everybody.



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